

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

M/S PARSONS OVERSEAS, *Claimant*

v.

SEVEN SEAS SHIPPING USA, INC., *Respondent*.

DOCKET NO. 1960(I)

Served: July 2, 2019

BEFORE: Theresa DIKE, *Small Claims Officer*.

DECISION ON REMAND¹

I. INTRODUCTION, PROCEDURAL HISTORY, AND FACTS.

A. Introduction.

Claimant M/S Parsons Overseas (“Parsons”) initiated this proceeding by filing a claim with the Federal Maritime Commission (“Commission” or “FMC”) against Respondent Seven Seas Shipping USA, Inc. (“Seven Seas”). Parsons alleges that Seven Seas *inter alia* created fraudulent bills of lading for a shipment Parsons tendered to it, without Parsons’ knowledge or authorization, and subsequently released the shipment to an unauthorized party. Parsons alleges that in so doing Seven Seas “failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property,” in violation of 46 U.S.C. § 41102(c) of the Shipping Act. Claim at 5.

On July 9, 2018, an Initial Decision was issued in this proceeding finding that Seven Seas violated section 41102(c) and awarding reparations to Parsons. *See M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*, Informal Docket No. 1960(I), Decision, (SCO July 9, 2018) (“SCO Decision”). After the SCO Decision was issued the Commission promulgated an interpretive rule on the scope of section 41102(c). The Commission then issued an Order vacating the SCO Decision and remanding this proceeding to the undersigned for adjudication of the section 41102(c) claim consistent with the interpretive rule. *M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*, Informal Docket No. 1960(I) (FMC Mar. 7, 2019) (Order Vacating and Remanding Decision) (“Commission Vacate and Remand Order”). This Decision on Remand is thus issued pursuant to the Commission Vacate and Remand Order.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

B. Summary of Factual Background.²

Respondent Seven Seas is an FMC-licensed ocean transportation intermediary (“OTI”) located in Irving, California. Seven Seas is licensed both as a non-vessel-operating common carrier (“NVOCC”) and an ocean freight forwarder (“freight forwarder”). *See* <https://www2.fmc.gov/oti/Default.aspx>. Claimant Parsons is a corporation in India that manufactures and sells clothing apparel (Claim at 2). During or about September 2015, Parsons entered into a contract with a New York corporation called Prolink Industries, Inc. (“Prolink”), to sell 608 cartons of men’s long-sleeved shirts to Prolink for payment of \$58,200. Claim at 3. As “is commonplace in India, the country of origin for the shipment in question,” Parsons cleared the goods through Customs Authority in India, paid the local port charges and per instructions from Prolink, tendered the goods to Virat Global Logistics Pvt. Ltd. (“Virat”) on document against payment terms³ to arrange transportation of the goods from India to New York, NY. Parsons’ RSI Resp. no. 1. Virat was Seven Seas’ agent in India at the time the transportation took place. Seven Seas’ RSI Resp. no. 1.

On September 13, 2015, Virat issued an original Seven Seas bill of lading annotated as VGLPNYK18315 and stamped as No. 0146 (“Bill of Lading No. 0146”) to Parsons for the shipment. Parsons’ RSI Resp. No. 1; Seven Seas’ RSI Resp. No. 7; Claim Ex. A. Bill of Lading No. 0146 identifies Parsons as the shipper/exporter for the cargo; the consignee as “To Order;”⁴ the notify party as Ocean Force Enterprises Ltd. (“Ocean Force”) ⁵; and Prolink as the “2nd Notify Party.” Claim at Ex. A. For reasons unexplained, unknown to Parsons, Virat also created two additional original Seven Seas bills of lading annotated as VGLPNYK18315 and stamped Nos. 0169 and 0170 (“alternate bills of lading”) for the same shipment and issued the alternate bills of lading to Ocean Force. Claim Ex. D; Seven Seas’ RSI Resp. Ex. 2. Bills of Lading Nos. 0169 and 0170 are identical to bill of lading No. 0146 in all respects except that they identify

² In the interest of brevity, the facts from the SCO Decision have been shortened from the version in the SCO Decision while keeping the pertinent facts. For the facts in their entirety *see* SCO Decision at 3-13.

³ Under “document against payment” terms, the shipping documents are held by the seller’s bank and released to the buyer only upon payment of the seller’s invoice. *See, e.g.,* <https://www.nasdaq.com/investing/glossary/d/documents-against-payment>. Under “document against acceptance” terms, the shipping documents to claim the cargo are held by the buyer’s bank and released to the buyer once the buyer agrees to pay the seller’s invoice. *See, e.g.,* <https://www.nasdaq.com/investing/glossary/d/documents-against-acceptance>.

⁴ An order bill of lading is “a title document to the goods issued to ‘the order of’ a party, usually the shipper, whose endorsement is required to effect its negotiation. Thus, a shipper’s order (negotiable) [bill of lading] can be bought, sold, or traded while goods are in transit and is commonly used for letter-of-credit transactions. The buyer must submit the original [bill of lading] to the carrier in order to take possession of the goods.” https://www.marad.dot.gov/wp-content/uploads/pdf/Glossary_final.pdf.

⁵ Ocean Force, based in Hong Kong, is an entity related to Prolink, the buyer of the goods in question. Parsons’ RSI Resp. no. 1

Ocean Force as the shipper/exporter for the cargo and the notify party as Macy's.Com, Inc.⁶ Claim Ex. D; Seven Seas' RSI Resp. Ex. 2.

On September 23, 2015, while the goods were still in transit to New York, Seven Seas received notification from Ocean Force on a document bearing Prolink's letter head, advising that the goods had been sold to a company called Courage Clothing Co. ("Courage Clothing") for \$21,825.00. Seven Seas' RSI Ex. 2. Courage Clothing subsequently advised Seven Seas that it was in possession of Bills of Lading Nos. 0169 and 0170 and forwarded them to Seven Seas on September 29, 2015. Seven Seas' RSI Resp. no. 5. Seven Seas released the shipment to Courage Clothing. Seven Seas' RSI Resp. no. 5.

The shipment was transported to New York by Hapag-Lloyd under Sea Waybill number HLCUB01150911495, dated September 14, 2015. The Hapag-Lloyd sea waybill describes Virat as the shipper and forwarding agent and Seven Seas as the consignee and notify party. Seven Seas' RSI Resp. Ex. 3. Upon arrival in the United States, the shipment was subjected to an intensive Customs examination and released to Seven Seas on October 12, 2015, incurring charges in the amount of \$938.75. Seven Seas' RSI Resp. no. 5. Seven Seas moved the shipment to its warehouse in New Jersey but did not advise Parsons of the shipment's arrival. Seven Seas' RSI Resp. no. 5. After receiving the alternate bills of lading, Seven Seas released the shipment in three installments to Courage Clothing - in October 2015, February 2, 2016, and March 2016 - unknown to Parsons. Seven Seas' RSI Resp. nos. 5 and 7.

In December 2015, Parsons inquired about the status of its shipment and was informed by Virat that the shipment was still undergoing Customs examination. Parson's Reply to Seven Seas RSI Resp. at 5. It was not until April 2016, that Parsons finally learned that its shipment had been released to the unauthorized party. Parsons' RSI Resp. nos. 3 and 5. Parsons was only able to collect \$10,000 of the \$58,200 owed on the shipment and filed a small claims complaint at the FMC against Seven Seas, seeking a reparations award for the remaining \$48,200. Claim at 4-5.

C. Procedural Background.

On March 6, 2018, Parsons filed its claim against Seven Seas, requesting adjudication under the Commission's informal procedures for adjudication of small claims promulgated at 46 C.F.R. Subpart S of the Commission's Rules of Practice and Procedure. Parsons alleges that Seven Seas violated section 41102(c) by creating the alternate bills of lading for Parson's shipment without authorization; deliberately misleading Parsons regarding the status of the shipment; and releasing the shipment to an unauthorized party without obtaining the genuine endorsed original bill of lading for the shipment, as required.

On March 9, 2018, the Assistant Secretary of the Commission assigned this proceeding to the Chief Administrative Law Judge ("Chief Judge") to designate a Small Claims Officer ("SCO") for the proceeding. In addition, the Assistant Secretary sent a Notice of Filing of Small Claims Complaint and Assignment to Seven Seas instructing Seven Seas to file a response to the claim and indicate whether it consented to the use of the informal procedures. On March 27, 2018, Seven Seas filed an Answer to the claim and consented to adjudication of the proceeding

⁶ Macys.Com, Inc. is not a party in this proceeding.

under the informal procedures. On March 28, 2018, the Chief Judge assigned this proceeding to the undersigned for adjudication.

1. SCO's Request for Information.

The Commission's rules at 46 C.F.R. § 502.304(a) and (e), authorize the Small Claims Officer to request from the parties documents or information necessary to adjudicate the proceeding. On April 27, 2018, the undersigned sent a Request for Supplemental Information ("RSI") to the parties.⁷ Parsons and Seven Seas submitted their respective responses to the RSI on May 25, 2018. On June 7, 2018, Parsons submitted a Reply to Seven Seas' RSI Response. On June 8, 2018, Seven Seas submitted a Reply to Parsons' Response.

2. The SCO Decision.

On July 9, 2018, the undersigned issued the SCO Decision, finding that Seven Seas had violated section 41102(c) and was liable to Parsons in the amount of \$48, 200. SCO Decision at 3, 26. The SCO Decision found that:

Parsons ha[d] proven by a preponderance of the evidence that Seven Seas released Parson's shipment to Courage Clothing without presentation of the genuine endorsed original bill of lading for the shipment (Bill of Lading No. 0146) as required by the terms of the transportation contract, and without Parson's authorization.

SCO Decision at 22. The SCO Decision also stated:

Under the transportation terms, Seven Seas had an obligation to release Parsons' shipment only to the party presenting the endorsed Original Bill of Lading No. 0146, the genuine bill of lading for the shipment. The evidence shows that instead, Seven Seas released the shipment to a different party, who presented two unauthorized original bills of lading illegally created by Virat, Seven Seas' agent, without the knowledge and consent of Parsons, the owner and true shipper/exporter of the shipment. "[T]he Commission has indeed recognized that NVOCCs violate section 10(d)(1) [the predecessor to section 41102(c)] when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice." *Bimsha Int'l v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013) (internal citations omitted). [T]he fact that the unauthorized bills of lading were created and issued by Seven Seas' agent rather than Seven Seas, itself, is irrelevant to the issue of whether the illegal conduct gives rise to a section 41102(c) violation. Accordingly, I find that Parsons has met its burden to show that the above-discussed conduct constitutes a violation of section 41102(c).

Moreover, the record shows that in addition to creating the illegal bills of lading, Seven Seas' agent intentionally misled Parsons regarding the status of Parsons' shipment. Seven Seas states that in December 2015, Virat, inquired about the status of the shipment and

⁷ For the specific information and documents requested *see M/S Parsons Overseas v. Seven Seas Shipping USA, Inc.*, Informal Docket No. 1960(I) (SCO April 27, 2018) (Request for Supplemental Information).

that Seven Seas informed Virat at that time that some of the shipment had been released to Courage Clothing. Nevertheless, in response to Parsons' inquiry on December 9, 2015, regarding the status of its shipment, Virat responded: "Your cargo is under examination and lying in our warehouse to avoid demurrage and detention charges." Seven Seas' RSI Resp. Ex. 2. Virat relayed this false information to Parsons despite knowing that some of Parson's shipment had already been released to Courage Clothing for close to six weeks at that point.

Misleading a shipper as to the status of the shipper's cargo has been found to constitute conduct in violation of section 10(d)(1), the precursor to section 41102(c). *See Adair v. Penn-Nordic Lines*, 26 S.R.R. 11 (ALJ 1991). In that case it was found that by intentionally misleading the shipper the respondent displayed an "indifference to the interests of the cargo owner," and "'failed to establish, observe and enforce just and reasonable regulations and practices related to or connected with receiving, handling and storing delivering property' in violation of Section 10(d)(1) of the 1984 Act." *Adair*, 26 S.R.R. at 19-20. Releasing Parsons' cargo to an unauthorized party and deliberately misleading Parsons that the cargo in question was still undergoing Customs examination when it clearly was not, thus constitutes display of "indifference to the interests of the cargo owner," and "engag[ing] in an unjust and unreasonable practice" while performing a contracted service "related to, or connected with . . . delivering property," in violation of Section 41102(c). *See Bimsha* 32 S.R.R. at 1866 and *Adair*, 26 S.R.R. at 19-20.

SCO Decision at 23-24. In addition, the SCO Decision stated:

As Virat's principal, Seven Seas is held liable for the conduct of Virat. "[A] licensed ocean transportation intermediary shall be fully responsible for the acts and omissions of any of its employees and agents that are performed in connection with the conduct of such licensee's business." 46 C.F.R. § 515.4(b). Despite becoming aware of the above illegal conduct by its agent through Parsons' complaint, Seven Seas asserts nevertheless that it does not "accept any liabilities for the alleged claim" and denies responsibility for its agent's conduct. Answer at 1. Seven Seas notes:

For the record Seven Seas Shipping USA office never issued Bill of Lading 0169/0170, it is our then agents Virat Global Logistics in Mumbai who issued those [b]ills of lading signed by Mr. Viral Joshi, hence to make a statement that Seven Seas Shipping fraudulently issued the Alternative Bills is false [sic].

Once again, we reiterate, at no time was Seven Seas Shipping USA, was notified of the underlying issues between Seller/buyer/Consignee or Banks nor were we made aware about another [original bill of lading] floating around as alleged by M/S Parson Overseas

Seven Seas' Reply, no. 3.

Even if, as Seven Seas claims, it was unaware at the time of Virat's conduct, Seven Seas subsequently became aware of Virat's illegal activities through Parsons. Rather than working with Parsons to ameliorate the harm caused by its agent, Seven Seas instead

disavowed any responsibility for the actions of the agent. As the NVOCC that transported Parsons' shipment, Seven Seas is held to "assume[] responsibility for the transportation [of Parsons shipment] from the port or point of receipt to the port or point of destination." 46 U.S.C. § 40102(6). Thus, by disavowing its responsibility for the losses incurred by Parsons as a result of the actions of its agent, insisting that Parsons instead look for recourse from the agent, Seven Seas further violated its contractual duties.

"A common carrier may not immunize itself from the common carrier responsibilities placed upon it by the Act by dissociating itself from any of its agents' activities which are brought into question." *Corpco Int'l Inc. v. Straightway, Inc.*, 28 S.R.R. 296, 299 (FMC 1998) (quoting *Hellenic Lines, Ltd. – Violation of Sections 16 (First) and 17*, 3 S.R.R. 409 (FMC 1964) (internal quotation marks omitted). Thus, Seven Seas "is correctly held liable for its agent's acts and omission." *Corpco*, 28 S.R.R. at 299. Accordingly, I find that Seven Seas is liable to Parsons for Virat's violation of section 41102(c).

SCO Decision at 24-25. Finally, the SCO Decision held:

Parsons alleges that it suffered damages in the amount of \$48,200, because it was only able to recover payment in the amount of \$10,000 from the buyer for its cargo valued at \$58,200. The evidence submitted by Parsons, including the commercial invoices, packing list, and Shipping Bills for Export for the shipment, as well as the email exchanges between Parsons, Virat and Ocean Force support Parsons' contention that the value of the cargo was \$58,200 but that it only received \$10,000 in payment for the cargo. Parsons has thus proven its claim by a preponderance of the evidence and is granted reparations against Seven Seas in the amount of \$48,200.

SCO Decision at 25-26.

3. The Commission's Interpretive Rule Revising the Elements Required to Demonstrate a Section 41102(c) Violation.

As noted, the undersigned granted reparations to Parsons, concluding that Seven Seas had violated section 41102(c), causing financial injury to Parsons. On September 7, 2018, however, the Commission issued a Notice of Proposed Rulemaking (NPRM) "to obtain public comments on clarification and guidance regarding the Commission's interpretation of the scope of 46 U.S.C. 41102(c) (section 10(d)(1) of the Shipping Act of 1984). *See* NPRM: Interpretive Rule, Shipping Act of 1984, 83 FR 45367 (Sept. 7, 2018). In the NPRM, the Commission stated:

Section 41102(c) provides that regulated entities 'may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivery property.'

Beginning with the *Houben [v. World Moving Services, Inc.]* decision in 2010 and presented in full in the Commission's 2013 decision in *Kobel v. Hapag-Lloyd*, the Commission has held in a line of recent cases that discrete conduct with respect to a particular shipment, if determined to be unjust or unreasonable, represents a violation of § 41102(c), regardless of whether that conduct represents a respondent's *practice or regulation*. These decisions diverge from consistent Commission precedent dating back

to 1935 and reaffirmed as recently as 2001 which required that a regulated entity must engage in a practice or regulation on a *normal, customary, and continuous* in order to be found to have violated § 41102(c) of the Shipping Act. In simple summary, discrete or occasional actions by regulated entities not reflecting a *practice* or *regulation* would not constitute a violation of § 41102(c).

Specifically, the Commission is considering an interpretive rule consistent with Commission precedent . . . that would restore the scope of § 41102(c) to prohibiting unjust and unreasonable *practices* and *regulations*. These decisions require that a regulated entity engage in a practice or regulation on a *normal, customary, and continuous* basis and a finding that such practice or regulation is unjust or unreasonable to violate that section of the Shipping Act.

NPRM, 83 FR at 45367-45368 (emphasis in original, internal citations omitted).

On December 17, 2018, the Commission issued a Final Rule adopting the September 7, 2018 interpretive rule without change. *See* Interpretive Rule, Shipping Act of 1984, 83 FR 64478 (Dec. 17, 2018) (“Final Rule”)

4. The Commission’s Order Vacating and Remanding the SCO Decision to the SCO.

Following issuance of the Final Rule, the Commission issued an Order on March 7, 2019, vacating the SCO Decision and remanding this proceeding to the undersigned for adjudication of the 41102(c) claim consistent with the newly issued revised interpretation of the scope of 41102(c). The Commission stated in the Order:

On July 9, 2018, the Small Claims Officer (SCO) found that Respondent violated 46 U.S.C. § 41102(c) when it: (a) released Claimant’s cargo to an unauthorized party based on unauthorized bills of lading created by Respondent’s agent; and (b) misled Claimant about the status of the cargo. SCO Decision at 23-24. In so finding, the SCO relied on the Commission’s decision in *Bimsha Int’l v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013), which provides, among other things, that non-vessel-operating common carriers (NVOCCs) violate § 41102(c) “when they fail to fulfill NVOCC obligations, *through single or multiple actions or mistakes*, and therefore engage in an unjust and unreasonable practice.” SCO Decision at 23 (emphasis added).

This interpretation of § 41102(c), however, insofar as it holds that discrete conduct with respect to a single shipment may constitute a violation of the statute, runs contrary to the original intent of Congress, the rules of statutory construction, and Commission precedent. *See, e.g.*, Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 45367-45372 (Sept. 7, 2018).

Properly interpreted, and consistent with pre-2010 Commission precedent, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis. 83 Fed. Reg. at 64479; 83 Fed. Reg. at 45369-70, 45372; *see also* 46 C.F.R. § 545.4(b). Here, SCO did not consider whether Respondent’s conduct satisfies that standard.

Consequently, the Commission **VACATES** the Decision and **REMANDS** this matter to the SCO for consideration of the § 41102(c) claims in light of the Commission's revised interpretation.

Commission Vacate and Remand Order at 1-2.

5. Order for the Parties to Submit Supplemental Information Addressing the Effect of the Interpretive Rule on the Section 41102(c) Claim.

Following receipt of the Commission Vacate and Remand Order, the undersigned instructed the parties on March 12, 2019:

Complainant is Ordered to serve and file a brief by April 11, 2019, discussing the revised interpretation's impact on their claim alleging that Respondent violated section 41102(c). [Parsons] must identify the factors relevant to the elements required to establish a successful claim for reparations articulated by the Commission. Complainant's brief should be supported by corroborating evidence, if available.

Respondent is Ordered to serve and file a brief by May 10, 2019, responding to the facts and arguments raised in Complainant's brief and setting forth any additional facts or arguments believed to be relevant to the adjudication of the issues. Respondent's brief should be supported by corroborating evidence, if available.

Complainant may serve and file a reply to [Respondent's] brief by May 24, 2019.

M/S Parsons Overseas v. Seven Seas Shipping USA, Inc., Informal Docket No. 1960(I), (Email dated Mar. 12, 2019, to the parties requesting supplemental briefing on the effect of the Interpretive Rule on the 41102(c) Claim).

In response, Parsons submitted a brief on April 11, 2019; Seven Seas submitted an email response on May 2, 2019, and Parsons submitted an email reply to Seven Seas' response on May 24, 2019.

II. CONTROLLING AUTHORITY.

A. Statutory Background

A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a).

Section 11(a) of the Shipping Act of 1984 (46 U.S.C. 41301(a)) permits any person to file a complaint with the Commission claiming a violation occurring in connection with the

foreign commerce of the United States and to seek reparation for any injury caused by that violation.

46 C.F.R. § 502.301(a).

Parsons alleges that Seven Seas is an NVOCC and a freight forwarder “as defined and described” by the Shipping Act and the Commission’s regulations. Claim at 2.

The term “ocean freight forwarder” means a person that—

- (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
- (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(19).

The term “non-vessel-operating common carrier” means a common carrier that-

- (A) does not operate the vessels by which the ocean transportation is provided; and
- (B) is a shipper in its relationship with an ocean common carrier.

46 U.S.C. § 40102(17).

The term “common carrier” –

- (A) means a person that—
 - (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
 - (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
 - (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

Parsons alleges that by creating the alternate bills of lading, misleading Parsons regarding the status of its shipment, and releasing the shipment to the unauthorized party, contrary to Parsons’ instructions, Seven Seas violated section 41102(c) of the Shipping Act. That section provides:

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

46 U.S.C. § 41102(c).

The Interpretive Rule on section 41102(c), promulgated in the Commission's Rules and Regulations at section 545.4, on December 17, 2018, states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

B. Evidence and Burden of Proof

"In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order." 46 C.F.R. § 502.203. Thus a claimant alleging a violation of the Shipping Act bears the burden of proving its allegations against the respondent. The term, "burden of proof" is understood to mean "the burden of persuasion." *Director, Office of Workers' Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981)). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *Petition of South Carolina Ports Authority for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also Steadman*, 450 U.S. at 101 n.16 ("Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.") (internal citations omitted). When direct evidence is unavailable inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993). If the evidence produced by both parties is evenly balanced the party with the burden of persuasion will not prevail. *See Greenwich Collieries*, 512 U.S. at 281.

III. DISCUSSION.

As previously noted, the undersigned instructed the parties to submit briefs on the effect of the newly issued Interpretive Rule on section 41102(c). Parsons submitted a brief, Seven Seas submitted an email response, and Parsons submitted an email reply to Seven Seas' response. The evidence of record thus comprises of the Claim, Answer, the responses to the RSI and the parties replies to each other's RSIs, as well as the briefs on remand submitted by the parties and Parsons' Reply to Seven Seas' remand response.

Parsons alleges that by creating the alternate bills of lading, misleading it regarding the status of its shipment, and releasing the shipment to an unauthorized party, Seven Seas violated section 41102(c). Based on the evidence of record I conclude that Parsons fails to prove all elements required in the Interpretive Rule for successfully establishing a section 41102(c) claim for reparations.

A. Documentary Evidence Submitted by the Parties.

The parties submitted a number of documents as exhibits with the Complaint, Answer, and submissions based on the RSI.

1. Parsons' Exhibits.

1. Original Seven Seas bill of lading No. 0146 which describes Parsons as the Shipper/Exporter; the Consignee as "To Order"; the "Notify Party" as Ocean Force Enterprises Ltd. and the "2nd Notify Party" as Prolink Industries Inc. Claim Ex. A.
2. Commercial invoices and packing lists reflecting charges for the goods in the amount of \$58,200; a Hapag-Lloyd receipt for the shipment, proof of customs clearance for the shipment; and the Certificate of Origin for the shipment. Claim Ex. B; Parsons' RSI Resp. Exs. 1, and 3; Parson's Reply to Seven Seas RSI Resp. Ex. F.
3. Bank documents showing instructions to Prolink to pay \$58,200, and stating that the \$58,200 payment had not yet been received. Claim Exs. C, and E.
4. A copy of alternate bills of lading Nos. 0169 and 0170. Claim Ex. D; Parson's Reply to Seven Seas RSI Ex. B.
5. Email exchanges between Parsons and an unidentified person, and Parsons and Virat, discussing the shipment at issue. Claim Ex. F; Parsons' RSI Resp. Exhs. 2, 4, and 5; Parson's Reply to Seven Seas RSI Resp. Ex. D.
6. A letter from Ocean Force, written on a Prolink letterhead stating that the shipment at issue had been sold to Courage Clothing for \$21,825. Parson's Reply to Seven Seas RSI Resp. Ex. C.
7. U.S. Customs and Border Protection Entry Summary for the shipment, identifying

Courage Clothing as the “Ultimate Consignee” and “Importer of Record,” and the declared value of the goods as \$21,825.00. Parson’s Reply to Seven Seas RSI Ex. E.

2. Seven Seas’ Exhibits.

1. Email exchanges between Parsons, Virat and Ocean Force from September 9, 2015, to February 11, 2016, reflecting instructions from Parsons to Virat on information to be included in the original bill of lading, and email exchanges between Seven Seas and Courage Clothing advising that Courage Clothing was in possession of the original bill of lading for the shipment. Email Attachment to Answer; Seven Seas’ RSI Resp. Ex. 4.
2. A copy of Alternate Bill of Lading No. 0169. Answer Ex. 1; Seven Seas’ RSI Resp. Ex. 2.
3. U.S. Customs and Border Protection Entry Summary for the shipment and a copy of the ISF/AMS customs entry request for the shipment. Answer Ex. 2.
4. Hapag-Lloyd master bill of lading for the shipment, describing Virat as the shipper and forwarding agent, and Seven Seas as the Consignee and Notify Party. Seven Seas’ RSI Resp. Ex. 3.

B. Pertinent Facts Established by the Record.

The following findings are based on the Claim, Answer, Responses to the RSI, and the above-listed exhibits submitted by the parties.

1. Parsons entered into a contract with Prolink, a New York corporation, to sell 608 cartons of men’s long-sleeved shirts to Prolink. Parsons’ RSI Resp. no. 1; Claim at 3.
2. Parsons issued an invoice to Prolink in the amount of \$58,200 for the 608 cartons of men’s long-sleeved shirts. Claim at 3; Parsons’ RSI Resp. Ex. 1.
3. “It is commonplace in India, the country of origin of the shipment in question, for the shipper to arrange Customs export clearance in India and other port formalities, while the buyer’s agent books transportation of the subject goods.” Parsons’ RSI Resp. no. 1.
4. “In this case, Parsons cleared the goods with India’s Customs authority, the Central Board of Excise and Customs [through Virat], and arranged and paid local port fees. Parsons then handed [the] shipment over to . . . Virat Global Logistics Pvt. Ltd. (‘Virat’), as instructed, so that Virat could book [the] transportation.” Parsons’ RSI Resp. no. 1; Email from Minal of Virat to Parsons and others discussing charges owed for Customs clearance of the shipment in India, dated September 11, 2015 (Attached to Answer).

5. Virat was Seven Seas' "then agent in Mumbai, India." Seven Seas' Answer at 1; Seven Seas' RSI Resp. Nos. 1 and 5.
6. Virat prepared a draft bill of lading which it sent to Parsons for review. On September 5, 2015, Parsons instructed Virat:

Pls note the BL should be marked as "FREIGHT COLLECT" & 2nd notify as the follows.

PROLINK INDUSTRIES INC

1407, BROAD WAY , SUITE 3604 TO 3605

NEW YORK, NY 10018, U.S.A.

Pls make the necessary changes & send revised BL asap

Virat responded:

Dear Sir,

Please find attached revised HBL Draft.

Kindly confirm.

Thanks and Regards.

To which Parsons replied:

BL is ok, pls issue the same.

Rgds.

Emails between Parsons and Virat, dated September 5, 2015, to September 13, 2015. Seven Seas' Answer at 1.

7. On September 13, 2015, Virat issued original bill of lading, annotated VGLPNYK18315 and stamped No. 0146 ("Bill of Lading No. 0146") to Seven Seas, describing the shipment as "1 x 20 FCL Container 608 CTNS woven P/L Ready Made Garments Mens Long Sleeve Shirt;" M/S Parsons as the shipper/exporter; the consignee as "To Order;" the forwarding agent as Virat; the notify party as Ocean Force, the 2nd Notify Party as Prolink; and the Container number as FCIU4741843. Claim Ex. A.
8. Ocean Force Enterprises ("Ocean Force"), is a Hong-Kong based entity related to Prolink, the buyer of the cargo. Parsons' RSI Resp. no. 1.
9. On September 13, 2015, Virat created and issued two additional Seven Seas original bills of lading for the same shipment, annotated as VGLPNYK18315 and stamped Nos. 0169 and 0170 ("Bill of Lading Nos. 0169 and 0170"). Parsons' RSI Resp. no. 1; Claim Ex. A.

10. In Bill of Lading Nos. 0169 and 0170, Virat changed the Shipper/Exporter description from M/S Parsons Overseas to Ocean Force Enterprises Ltd; the Notify Party to Macy's.com; and deleted the 2nd Notify Party information. Seven Seas' RSI Resp. Ex. 2.
11. Virat created Bill of Lading Nos. 0169 and 0170 and issued them without Parsons' knowledge or authorization. Claim at 4; Parsons' RSI Resp. no. 3.
12. "Seven Seas Bills of [L]ading are individually [and sequentially] numbered, which is a tracking mechanism for [Seven Seas] to know which agent has used/issued [its] Bills of Lading." Seven Seas' RSI Resp. no. 2.
13. The shipment was transported to New York by Hapag-Lloyd under Sea Waybill number HLCUB01150911495. Seven Seas' RSI Resp. Ex. 3.
14. Dated September 14, 2015, Hapag-Lloyd Sea Waybill number HLCUB01150911495 describes Virat as the shipper and forwarding agent and Seven Seas as the consignee and notify party. Seven Seas' RSI Resp. Ex. 3.
15. On September 23, 2015, while Parsons' shipment (Container number FCIU4741845), was in transit to New York, Seven Seas received a letter on Prolink's letter head from Vijay Golani of Ocean Force, advising:

To Whom it may Concern

The Following Goods were sold in transit to COURAGE CLOTHING
1407 Broadway Suite 1618 New York NY 10018. Container
FCIU4741845 with 608 carton of Men Woven shirts 65% Cotton 35%
poly. Packing Slip & invoice 3580S in the amount of USD \$21,825.00
[sic].

Parsons' Reply to Seven Seas RSI Ex. C; Seven Seas' RSI Resp. Ex. 2.

16. On September 30, 2015, Courage Clothing presented Bill of Lading Nos. 0169 and 0170 to Seven Seas. Seven Seas' RSI Ex. 4.
17. On October 1, 2015, Seven Seas received an Arrival Notice from Hapag-Lloyd indicating that the shipment in question was estimated to arrive in New York on October 7, 2015. Seven Seas' RSI Resp. no. 5.
18. Upon arrival in the United States the shipment was subjected to "intensive Customs examination" and released by the U.S. Customs on October 12, 2015, incurring charges in the amount of \$938.75. Seven Seas' RSI Resp. no. 5.
19. Seven Seas paid the charges and then moved the shipment to its warehouse in New Jersey. Seven Seas' RSI Resp. no. 5.

20. At the end of October 2015, Seven Seas released a portion of the shipment to Courage Clothing upon receipt of payment of the charges then due on the container from Courage Clothing. Seven Seas' RSI Resp. no. 5.
21. In December 2015, Virat asked Seven Seas for an update on the status of the container and Seven Seas:
- notified [Virat] that part [of the] cargo was released but [Seven Seas] was holding a reasonable amount of [the] cargo in lieu of outstanding payments [due on the container] amounting to approximately US \$10,000 owed to [Seven Seas] for the [warehouse] receiving/sorting/palletization and storage from October 2015 and other charges like Customs Duties and trucking cost which [Seven Seas paid for on behalf of Courage Clothing].

Seven Seas RSI Resp. no. 5.

22. On December 9, 2015, Parsons sent an email to Virat stating in pertinent part: "[the] notify party has failed to make the payment. So kindly let us know what is the status of container & what is the freight charges to release the container." Parsons' Reply to Seven Seas RSI Resp. Ex. D.
23. On December 9, 2015, Virat responded to Parson's inquiry regarding the status of its container:
- Your cargo is under examination and lying in our warehouse to avoid demurrage and detention charges. Shipment reached destination in October and till now charges accumulated will be too high. We will revert all relevant charges (freight, warehouse, examination, customs etc) to you shortly. Pls advise if all charges at destination incurred so far will be paid by you or Hypnotik Clothing through whom we received bookings. So far we have received only local charges payment from you and we have handed all documents to you including EP copies.

Parsons RSI Resp. Ex. 2.

24. On February 2, 2016, Seven Seas received payment of \$12,000 from Courage Clothing and released part of the remaining shipment to Courage Clothing and the remainder to Courage Clothing in March 2016. Seven Seas' RSI Resp. no. 5.
25. It was not until sometime in April 2016 that Parsons learned that Seven Seas had released its shipment to Courage Clothing. Parsons' RSI Resp. nos. 3 and 5; Claim at 4.
26. Parsons has only been able to obtain \$10,000 of the \$58,200 owed for the shipment from the buyer. Claim at 4; Parsons' RSI Resp. no. 3.

C. Objections Raised by Parsons to the Commission's Remand of the SCO Decision.

In its brief, Parsons first objects to the Commission's order vacating and remanding the SCO Decision. Parson states:

Given the procedural history of this case, in issuing its Order vacating and remanding the decision back to the SCO to reconsider the Decision in light of its revised interpretation of 41102(c), the Commission is effectively seeking to retroactively apply its revised interpretation of 41102(c) to Complainant's decided Claim. In response, Complainant objects to this retroactive application of the Commission's interpretation as set forth in the Final Rule because such retroactive application of the revised interpretation of 41102(c) is contrary to law.

Parsons' Br. at 8.

Citing case law, Parsons argues that: agencies are generally prohibited from promulgating retroactive rules, absent express permission from Congress (*Bowen v. Georgetown University Hospital*, 488 U.S. 204, 208 (1988), *National Mining Association v. Department of Labor*, 292 F.3d 849, 860 (D.C. Cir. 2002), *Motion Picture Association of America v. Oman*, 969 F.2d 1154, 1155 (D.C. Cir. 1992), and *Health Insurance Association of America v. Shalala*, 23 F.3d 412, 423 (D.C. Cir. 1994)); when Final Rules are promulgated, these rules may be justifiably given prospective-only effect in order to "protect the settled expectations of those who had relied on the preexisting rule" (*William Natural Gas Co. v. FERC*, 3 F.3d 1544, 1554 (D.C. Cir. 1993), *RKO General v. FCC*, 670 F.2d 215, 223 (D.C. Cir. 1981), *Clark-Cowlitz Joint Operating Agency v. FERC*, 826 F.2d 1074, 1081 (D.C. Cir. 1987 (en banc), and *Consol Freightways v. NLRB*, 892 F.2d 1052, 1058 (D.C. Cir. 1989)); there is a presumption against retroactively applying a rule particularly when the rule "departs radically" from an earlier agency interpretation, when fines or damages are involved, and when the new interpretation is very broad and general (*NLRB v. Bell Aerospace Co. Div. of Textron, Inc.*, 416 U.S. 267, 294 (1974), *Pfaff v. United States HUD*, 88 F.3d 739, 748 (9th Cir. 1996)); and, even where courts have permitted the retroactive application of legislation for cases pending on appeal from initial adjudication at the time the legislation is enacted, such narrow cases do not apply where an agency is seeking to retroactively apply its own rules because agencies generally lack the statutory authority to retroactively apply their own rules (*NLRB v. Long Island College Hospital*, 20 F.3d 76, 81 (2d Cir. 1984)). Parsons' Br. at 9-10. Seven Seas did not comment on Parsons' objections to the remand or arguments about retroactivity.

As the court makes clear in *National Mining Association*, cited by Parsons, "[a]n agency may not promulgate retroactive rules absent express congressional authority." *National Mining Association*, 292 F.3d at 859 (citing *Bowen*, 488 U.S. at 208). However, while "[t]he general legal principles governing retroactivity are relatively easy to state, [they are] not as easy to apply." *National Mining Association*, 292 F.3d at 859. "A provision operates retroactively when it 'impairs rights a party possessed when he acted, increases a party's liability for past conduct, or imposes new duties with respect to transactions already completed.'" *Id.* (quoting *Landgraf v. USI Film Products*, 511 U.S. 244, 280 (1994)).

A statute does not operate “retrospectively” merely because it is applied in a case arising from conduct antedating the statute’s enactment, or upsets expectations based in prior law. Rather, the court must ask whether the new provision attaches new legal consequences to events completed before its enactment. The conclusion that a particular rule operates “retroactively” comes at the end of a process of judgement concerning the nature and extent of the change in the law and the degree of connection between the operation of the new rule and a relevant past event. Any test of retroactivity will leave room for disagreement in hard cases, and is unlikely to classify the enormous variety of legal changes with perfect philosophical clarity. However, retroactivity is a matter on which judges tend to have “sound . . . instinct[s],” and familiar considerations of fair notice, reasonable reliance, and settled expectations offer sound guidance.

Landgraf, 511 U.S. at 269-70 (internal citations omitted).

Although Parsons’ objections are herein noted, the undersigned has no authority to rule on those objections. The Commission remanded this proceeding to the undersigned for the sole purpose of adjudicating whether the elements established by the Commission in the newly revised interpretation of section 41102(c) have been proven in this case.

D. Parsons Fails to Prove All Elements Required in the Interpretive Rule on 46 U.S.C. § 41102(c) for Successfully Establishing a Reparations Claim.

Section 41102(c) provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). In the Interpretive Rule, codified at section 545.4 of the Commission’s Rules and Regulations, the Commission established the following elements as necessary to successfully maintain a 41102(c) reparations claim:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Parsons contends that it is entitled to reparations even under the Commission’s revised interpretation of section 41102(c). Parsons’ Br. at 13. On the other hand, Seven Seas argues that

the elements required for Parsons to succeed in its claim are not present in this case. Seven Seas' Br. at 4-6. An analysis of those elements demonstrates that:

1. Respondent is an Ocean Transportation Provider.

As both an NVOCC and a freight forwarder, Seven Seas is an ocean transportation provider, the first required element.

2. The Acts or Omissions at Issue Relate to or are Connected with Receiving, Handling, Storing, or Delivering property

Parson's complaint against Seven Seas is related to goods Parson tendered to Seven Seas for delivery by ocean, thus this required element is demonstrated.

3. The Acts or Omissions at Issue Were Unjust and Unreasonable

The evidence shows that Virat, Seven Seas' agent, issued the first original bill of lading for the shipment - Bill of Lading No. 0146 - to Parsons, the owner of the shipment. Claim at 3. Bill of Lading No. 0146 describes Parsons as the shipper and exporter of the shipment and Ocean Force, the buyer's agent, as the "Notify Party." Subsequent to issuing Bill of Lading No. 0146 to Parsons, Virat created and issued two alternate bills of lading - Bill of Lading Nos. 0169 and 0170 - for the same shipment without Parsons' authorization or knowledge. In the alternate bills of lading, Virat changed the shipper information to reflect Ocean Force, rather than Parsons as the shipper. Claim at 4; Seven Seas' RSI Resp. nos. 2 and 3; and Seven Seas' RSI Resp. Ex. 2. Ocean Force subsequently sold the shipment, which did not belong to it, and endorsed the unauthorized bills of lading to a company called Courage Clothing, to which Seven Seas then released Parsons' shipment without informing Parsons or obtaining the genuine, endorsed original bill of lading for the shipment, as required. Seven Seas RSI Resp. no. 3.

The record also shows that in addition to creating and issuing the illegal bills of lading, Virat intentionally misled Parsons regarding the status of Parsons' shipment when Parsons inquired about the status of the shipment. Despite knowing that Seven Seas had released the shipment to Courage Clothing, Virat nevertheless informed Parson: "Your cargo is under examination and lying in our warehouse to avoid demurrage and detention charges." Parsons' RSI Resp. Ex. 2.

Commission caselaw indicates that releasing Parsons' cargo to an unauthorized party and deliberately misleading Parsons about the status of its cargo were unjust and unreasonable acts. *See, e.g. Bimsha Int'l v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013); *Adair v. Penn-Nordic Lines*, 26 S.R.R. 11, 19-20 (ALJ 1991). As Virat's principal, Virat's conduct is imputed to Seven Seas. "[A] licensed ocean transportation intermediary shall be fully responsible for the acts and omissions of any of its employees and agents that are performed in connection with the conduct of such licensee's business." 46 C.F.R. § 515.4(b). Accordingly, Parsons has demonstrated that the acts described here were unjust and unreasonable, as required in the revised interpretation of section 41102(c).

4. The Acts or Omissions at Issue Were the Proximate Cause of the Loss Claimed by Parsons.

Parsons alleges that it suffered damages in the amount of \$48,200, because it was only able to recover payment in the amount of \$10,000 from the buyer for its cargo valued at \$58,200. The evidence submitted by Parsons, including the commercial invoices, packing list, and Shipping Bills for Export for the shipment, as well as the email exchanges between Parsons, Virat and Ocean Force support Parsons' contention that the value of the cargo was \$58,200 but that it only received \$10,000 in payment for the cargo. Thus the element requiring that the act or Omission at issue be the proximate cause of the loss claimed by the Claimant is also demonstrated here.

5. Parsons Fails to Demonstrate that the Unjust and Unreasonable Acts or Omissions by Seven Seas Occurred on a Normal, Customary, and Continuous basis.

Parsons asserts that Seven Seas' "deceptive conduct was continuous and repetitive" and that Seven Seas "engaged in deceptive conduct on multiple occasions." Parsons' Br. at 13. Parsons argues that: Seven Seas created and issued two additional bills of lading without Parsons knowledge or consent, released Parsons' shipment to Courage Clothing without presentment of the genuine original bills of lading as required under the contract terms and without Parsons' authorization on three separate occasions, which constitute "five separate acts of misconduct," not "one discrete oversight." Parsons' Br. at 13-14. Parsons states that in addition, Seven Seas' agent intentionally misled Parsons and relayed false information to Parsons, resulting in a "series of six continuous acts of misconduct in violation of 41102(c)" by Seven Seas. Parsons' Br. at 14. Parsons contends:

As a result of these continuous infractions, the SCO found Respondent to have engaged in unjust and unreasonable practices while it contracted services relating to, or connected with delivering property and granted reparations against Respondent in the amount of \$48,200. The Respondent should therefore still be found to have violated 41102(c) even under the new legal standard, because its conduct did not amount to only one discrete failure to 'enforce just and reasonable regulations' as required by the statute, but rather conduct on a normal, customary, and continuous basis as between Complainant and the Respondent.

Parsons' Br. at 14-15.

Seven Seas maintains, however, that there were "no acts or omission[s] . . . that occurred on a normal, customary, and continuous basis" with regard to its agent's release of the subject cargo to an unauthorized party and deception of Parsons about the status of the cargo, as Seven Seas never authorized the creation or issuance of Bill of Lading No. 0146 and was not aware that it existed. Seven Seas' Br. at 4. Seven Seas states:

This is the first ever alleged Claim made against Seven Seas Shipping USA Inc which has been in operation since May 2007[.] Seven Seas Shipping USA Inc. has no history of any wrongful deliveries of cargo or [a]ny claim from any other

entity with regards to Seven Seas Shipping USA Inc.[‘s] conduct since beginning of our operations that started in May 2007.

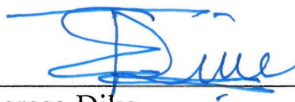
Seven Seas’ Br. at 5.

Under the Commission’s revised rule on section 41102(c), in order to obtain reparations against the respondent the complainant must prove that an unjust and unreasonable act or omission by the respondent occurred on a normal, customary, and continuous basis. Commission caselaw cited in the Interpretive Rule on section 41102(c) indicates that for a claimant to succeed in its Claim, the act in question must involve a “series of such occurrences,” rather than “an isolated or one shot occurrence.” *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 420 (ALJ 1962). Parsons has the burden of proof to demonstrate that Seven Seas engaged in the unjust and unreasonable acts on a normal, customary, and continuous basis. *See* 46 C.F.R. § 502.203.

To the contrary, here, it has merely been shown that in one instance Seven Seas created and issued two fraudulent bills of lading for Parsons’ shipment and released this solitary shipment in three installments to an unauthorized party without obtaining the genuine original bill of lading for the shipment or Parson’s consent, and that in one instance, Seven Seas misled Parsons regarding the status of the shipment. Thus, while undoubtedly there is evidence of more than one instance of illegal conduct by Seven Seas with regard to the delivery of the one shipment, there is no evidence that it was a practice for Seven Seas to create fraudulent bills of lading for shipments, to release shipments to unauthorized parties without presentment of the original bills of lading for the shipments or their owners’ consent, or to mislead shippers regarding the status of their shipments. In other words, a “series of such occurrences” has not been shown. Indeed, the record does not even show that Seven Seas created and issued an unauthorized bill of lading for Parsons’ shipment on more than one occasion, released shipments belonging to Parsons to an unauthorized party other than the one shipment at issue, or that Seven Seas misled Parsons regarding the status of its shipment other than the one isolated occurrence shown. Thus, Parsons fails to demonstrate that the unjust and unreasonable acts by Seven Seas occurred on a normal, customary, and continuous basis, a required element under the new interpretation of section 41102(c) for establishing a successful claim for reparations. Accordingly, Parsons request for reparations against Seven Seas is denied and Parsons’ claim is dismissed.

IV. CONCLUSION.

Parsons fails to demonstrate that Seven Seas engaged in an unjust and unreasonable practice on a normal, customary, and continuous basis, as required in the newly promulgated Interpretive Rule on section 41102(c) for establishing a successful claim for reparations. Parsons’ request for award of reparations against Seven Seas is thus denied and Parsons’ Claim is dismissed.



Theresa Dike
Small Claims Officer